OPENFUND

OPENFUND PROP

Business & Revenue Model

How Openfund Prop operates economically — drivers, liabilities, unit economics

Pre-Seed · Base scenario figures

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Figures: Openfund_Prop_Financial_Model.xlsx (single source of truth)

1. Business Model Canvas

Block	Content
Customer segments	Aspiring funded traders; instant-funding buyers; skill builders (Free Trial); bilingual EN/FA traders; affiliates and educators
Value proposition	Published, honestly-labelled evaluation terms from a single source; own terminal (platform-independent); bilingual RTL experience; contractual rewards with visible rules
Channels	Bilingual content and community; affiliate programme (10% revenue share); free-trial funnel; the product's own discovery surfaces
Customer relationships	Self-serve purchase; automated evaluation; support scaled to active customers; transparency page with real statistics post-launch
Revenue streams	One-time challenge fees (net of promos, refunds, chargebacks); no other lines assumed
Key resources	Working platform (terminal, engine, ledger, CMS); published catalog; brand system; anonymous capability plan
Key activities	Evaluation operations; funded-stage reward management; risk telemetry; affiliate management; compliance
Key partners	Payment processors; KYC provider; payout rail; Canadian counsel and accountants; affiliate network
Cost structure	Trader reward payouts; acquisition (CAC + affiliate commissions + marketing); payroll; infrastructure and payment fees; compliance; establishment

2. Revenue Architecture

Revenue is a single architecture: purchases × program-average fees, net of promotional discount, then net of refund/chargeback contras. Program mix (Standard 50%, One-phase 28%, Instant 17%, Free Trial 5% lead-in) and size-weighted average fees derive from the published catalog; repeat purchases (failed buyers, ~3-month lag) compound the base without acquisition cost.

Line (Base, annual)	Y1	Y2	Y3	Y4	Y5
Purchases	888	2,606	4,645	7,011	9,423
Gross fee revenue	$125K	$366K	$653K	$987K	$1,327K
Net revenue (after promo/refunds)	$120K	$352K	$627K	$947K	$1,273K
Repeat share of purchases	≈21%	≈23%	≈24%	≈25%	≈26%

3. Product Economics

Per-purchase economics (Base): blended catalog fee $153.5; net contribution before fixed costs = fee − payouts attributable − processing − affiliate − KYC. Payouts attributable per purchase average ≈$65 over the five-year horizon (the funded-pool liability spread across purchases).

Per-purchase item	Value	Basis
Blended catalog fee	$153.5	Program mix × size-weighted fees
Less: promo discount (8%)	−$12.3	Recommendation
Less: refunds/chargebacks (4%)	−$6.1	Planning accrual
Net revenue per purchase	≈$135	Model output
Variable costs (payout share, processing 4%, affiliate 40%×10%, KYC $2.50)	≈$94	Driver chain
Contribution per purchase (before CAC/support)	≈$41	Model output

4. Evaluation Funnel

The funnel is the model's evaluation chain with its Base calibrations: evaluated purchases (Standard + One-phase) ⟶ phase-1 pass 28% ⟶ phase-2 pass 38% of passers ⟶ funded activation 85%; Instant purchases enter the funded pool directly at 55% survival; evaluation and activation lag two months; funded accounts retain 85% monthly (average life ≈ 6.7 months).

Industry anchors (Track360, third-party): pass rates cluster 5–14% (phase-1 25–35%); ~45% of funded traders ever receive a payout; 60–70% of failures are drawdown violations rather than missed targets — supporting the emphasis on loss-limit education in the acquisition funnel.

5. Trader Reward Liabilities

Payout liability = active funded pool × monthly participation (7%) × average payout ($900). It is never a fixed percentage of revenue; the payout-to-revenue ratio is an output that ramps 18% ⟶ 54% as the pool matures (5y average ≈ 48% in Base).

Control	Rule
Reserve policy	3 × trailing 3-month average payouts held in cash before expansion
Ratio band	15–70% of net revenue; breach triggers pricing/payout review
Instant buffers	First 3% of profit not payout-eligible; 15% consistency; trailing lock at +5%
Run caps	Payout runs capped by available reserve coverage

6. Acquisition Economics

Blended non-affiliate CAC $18; affiliate commissions 40% share × 10% modelled as revenue-variable; average revenue per unique customer $167 over five years (LTV); contribution-to-CAC coverage 3.4×; LTV/CAC 8.6× including repeat purchases. Effective cost per funded trader remains well inside the industry's $325–650 band.

7. Operating Expense Structure

Block	Y1	Y3	Y5	Driver
Payroll (capability plan × scenario)	$30K	$90K	$150K	Ramp plan
Acquisition spend (CAC + marketing + affiliate)	≈$52K	≈$180K	≈$290K	Volume
Trader payouts	$22K	$289K	$682K	Funded pool
Technology & payment fees	≈$28K	≈$52K	≈$80K	Volume + base
Support	≈$8K	≈$28K	≈$45K	Active customers
Compliance & establishment	$8.3K	$3.2K	$3.2K	Calendar

8. Hybrid Capital Allocation

The live-trading pilot allocates capital only to a selected share (2–4%) of funded accounts, capped by a pool of 10% of raised funds; returns are planning assumptions (0.5–1.1% gross monthly band across scenarios), never claims. Allocated capital is an asset; the segment is isolated so the business case stands with it at zero.

9. Unit Economics Summary

Metric	Base value
Revenue per purchase (net)	≈$135
Contribution per purchase	≈$41
Contribution per unique customer (5y)	≈$61
LTV / CAC	8.6×
Contribution / CAC	3.4×
CAC payback	Within first purchase cycle

10. Financial Sustainability & Break-even Drivers

Break-even (EBITDA) arrives in month four post-launch in Base, driven by: contribution per purchase exceeding per-purchase acquisition cost from the first cohort; fixed costs held under $4.2K pre-launch and ~$8K/month at scale; and payout participation held to the industry observation. The three levers that move break-even most: volume growth (dominant), payout participation, and the payroll ramp — quantified in the model's sensitivity grid.

Sustainability check: EBITDA remains positive across volume multipliers 0.8–1.4× and payout multipliers 0.7–1.3× at Base; the trough of cumulative EBITDA ex-funding is $14.5K, covered by every funding scenario from $50K upward.

11. Revenue Concentration Risks

12. Sensitivity to Customer Behaviour

Volume ↓ / Payout →	0.70×	0.85×	1.00×	1.15×	1.30×
0.6×	$574K	$367K	$160K	($47K)	($254K)
0.8×	$827K	$551K	$275K	($1K)	($277K)
1.0×	$1080K	$735K	$390K	$45K	($300K)
1.2×	$1333K	$919K	$505K	$91K	($323K)
1.4×	$1585K	$1103K	$620K	$137K	($345K)

Five-year EBITDA (linear-volume approximation, Base). Customer-behaviour risks are the two axes: purchase volume (growth and repeat) and payout participation. Both are monitored monthly against the model's control band.

13. Strategic Growth Opportunities

All figures derive from Openfund_Prop_Financial_Model.xlsx (Base) and recompute with its scenario controls. Sources and assumptions: the evidence register and the model's Assumptions sheet.